

SECURITIES AND EXCHANGE BOARD OF INDIA

OFFICIAL REGULATORY NOTIFICATION - STATUTORY TEXT

SEBI CIRCULAR ON CONTROLS AND RISK MITIGATION FOR ALGORITHMIC TRADING

[Clause 1.2] Mandatory Pre-Trade Risk Controls (PIRCs)

All stock brokers offering algorithmic or automated trading access must implement mandatory automated pre-trade risk controls including: price range checks, quantity limit per order, maximum value per order, order-to-trade ratio (OTR) limits, and kill-switch capabilities to instantly cancel open orders.

[Clause 2.1] Algorithm Approval and Conformance Testing

Every algorithmic trading strategy deployed by brokers or clients must undergo simulation and conformance testing in the stock exchange test environment and receive prior written approval from the exchange before live market deployment. Unapproved algorithmic execution is prohibited.

[Clause 3.4] Prohibition of Unregulated API Access and Retailing Algos without Safeguards

Brokers shall not provide open automated trading APIs to third-party unregulated bot providers who offer automated profit guarantees or automated trading to retail clients without registered investment advisory oversight.
